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17 TENTATIVE RULING 9:15 a.m., Tuesday, July 28, 2026

CHRISTA BISCHOFBERGER v. HOUSTEN SALEM, INC., et al. [25STCV10361]

MOTION FOR SUMMARY JUDGMENT, OR IN THE ALTERNATIVE, SUMMARY ADJUDICATION OF THE 5TH, 10TH, 11TH, AND 17TH CAUSES OF ACTION IN THE FIRST AMENDED COMPLAINT OF DEFENDANTS HOUSTON SALEM, INC., STEPHEN KAYNE, HADI JOHN SALEM, AND RAMSEY SALEM

BACKGROUND:

Employment dispute also alleging breach of fiduciary duty, violations of the Corporations Code, violations of the UCL, etc.

TIMELINE:

Unknown Date: Plaintiff Christa Bischofberger (“Plaintiff”) founds a clothing company, Saltwater Luxe, Inc. (“Saltwater Luxe”), in California. (Def. Exh. F.) Plaintiff was an officer, director, and shareholder of Saltwater Luxe, holding all 10,000 issued shares under Certificate No. 1. (Kayne Decl., ¶¶ 4-7; Exhs. A-D; Bischofberger Decl., ¶ 2.)

9/4/2018: Defendant Houston Salem, Inc. (“Houston Salem”), a California corporation, and Saltwater Luxe execute a Letter of Intent (the “LOI”) which outlines the terms for Houston Salem’s intended acquisition of Saltwater Luxe. (Kayne Decl., ¶¶ 2, 4; Exhs. A, I.) Plaintiff signs the LOI as President and shareholder of Saltwater Luxe. (Def. Exh. A.)

Defendant Stephen Kayne ("Kayne") is the CEO and CFO of Houston Salem. (FAC, ¶ 5; Kayne Decl., ¶ 1.) Defendants Hadi John Salem ("H. Salem") and Ramsey Salem (R. Salem") are directors of Houston Salem. (FAC, ¶¶ 6-7.)

10/26/2018: Houston Salem (as "Buyer") and Saltwater Luxe (as "Seller") execute an Asset Purchase Agreement (the "APA") for the asset sale. (Kayne Decl., ¶ 5; Exh. B.) Plaintiff signs the APA as President and shareholder of Saltwater Luxe. (Def. Exh. B.)

Thereafter, a board consent and shareholder consent (which Plaintiff signed) approve of selling the assets of Saltwater Luxe to Houston Salem and of changing the name of the company from Saltwater Luxe to Bischofberger Enterprises, Inc. (Kayne Decl., ¶¶ 6-7; Exhs. C, D.)

10/30/2018: A Certificate of Amendment for Saltwater Luxe is filed with the California Secretary of State, identifying Plaintiff as Saltwater Luxe's President and signatory, and changing the corporation's name to Bischofberger Enterprises, Inc. ("Bischofberger Enterprises"). (Def. Exh. F.)

12/6/2018: A Statement of Information for Bischofberger Enterprises is filed with the California Secretary of State identifying Plaintiff as the company's CEO and Director. (Def. Exh. G.)

3/11/2019: A Certificate of Dissolution for Bischofberger Enterprises is filed with the California Secretary of State, identifying Plaintiff as the sole director and signatory. (Def. Exh. H.)

1/2024: Plaintiff and Kayne exchange emails regarding Plaintiff's revised financial role in Saltwater Luxe and her commission structure. (Bischofberger Decl., ¶¶ 6, 28-30; Khatib Decl., ¶ 15, Exh. 1.)

4/8/2025: Plaintiff files the Complaint. On 11/7/2025, the Court grants Plaintiff leave to amend the fifth, tenth, eleventh, and seventeenth causes of action. Plaintiff files the operative First Amended Complaint ("FAC") on 11/26/2025, alleging causes of action for:

1. Whistleblower Retaliation in Violation of Lab.
Code § 1102.5

2. Wrongful Termination in Violation of Public
Policy

3. Breach of Contract

4. Breach of Implied Covenant of Good Faith and
Fair Dealing

5. Breach of Fiduciary Duty

6. Negligent and Intentional Interference with
Prospective Economic Advantage

7. False Promise

8. Fraudulent Misrepresentation

9. Conversion

10.
Enforcement
of Directors' Rights to Information and Documents (Corp. Code § 1600, et seq.)

11.
Unfair
Business Practices (Bus. & Prof. Code §17200, et seq., Contrary to Corp.
Code §§ 1500 and 1600 et seq.)

12.
Failure
to Pay Wages (Lab. Code §§ 201, 1182.12, 1194, 1194.2)

13.
Failure
to Provide Accurate Wage Statements (Lab. Code § 226)

14.

Waiting
Time Penalties (Lab. Code §§ 201-203)

15.
Failure
to Pay Earned Wages (Lab. Code §§ 204.1, 206, 218.5, 218.6)

16.
Intentional
Infliction of Emotional Distress

17.
Demand
for Equitable Accounting

3/13/2026: The parties submit a stipulation (which the Court grants) agreeing that the fifth, tenth, eleventh, and seventeenth causes of action in the FAC will be litigated in this court action, while the remaining causes of action will be arbitrated. (Stip. & Ord., Mar. 13, 2026.)

3/19/2026: Houston Salem, Kayne, H. Salem, and R. Salem (collectively, "Defendants") file their Second Amended Answer to the FAC.

4/17/2026: Defendants file this Motion for Summary Judgment/Adjudication, followed by Plaintiff's Opposition (6/23/2026) and Defendants' Reply (7/2/2026).

TENTATIVE
RULING: MOTION FOR SUMMARY JUDGMENT, OR IN THE ALTERNATIVE, SUMMARY ADJUDICATION OF DEFENDANTS HOUSTON SALEM, INC., STEPHEN KAYNE, HADI JOHN SALEM, AND RAMSEY SALEM is GRANTED in part and DENIED in part.

I. MOTION FOR
SUMMARY JUDGMENT/ADJUDICATION

Defendants move for summary judgment, or alternatively, summary adjudication of the four causes of action remaining in this litigation on the premise that Plaintiff cannot demonstrate that she is a shareholder of Houston Salem. (Mot., at p. 9.)

In the FAC, Plaintiff repeatedly alleges that she was a minority shareholder and/or owner of Housten Salem d.b.a. Saltwater Luxe pursuant to the LOI and the APA. (FAC, ¶¶ 16, 20, 43, 85, 88-89, 127, 130-131, 174.) It is Defendants' position in this motion that Plaintiff was not a shareholder of Houston Salem, and thus, Defendants did not have a fiduciary relationship with Plaintiff and Plaintiff did not have the right to inspect Houston Salem's corporate records. (Mot., at pp. 10-12; Rep., at pp. 2-3.) Defendants support this factual premise by relying on their interpretation of the terms of the LOI, the APA, and the board/shareholder consents, as well as the fact that Plaintiff does not appear on the stock ledger produced in this action by Houston Salem. (Kayne Decl., ¶¶ 4-8; Exhs. A, B, C, D, E.)

The contents of the operative transaction documents are undisputed. The LOI contemplates the Buyer's purchase of "all or substantially all of the assets of Seller" for a purchase price of one dollar, as well as the "Participation Right" and the "Commissions" as outlined in the LOI. (Def. Exh. A, § 1.) The LOI describes the "Participation Right" as Seller's 20% participation interest in any disposition of the Saltwater Luxe brand. (Id. § 4.) The "Participation Right" also entitles Seller to receive 20% of the "net purchase price" paid for the Saltwater Luxe brand in the event that the brand is sold by Buyer. (Ibid.) The APA has largely consistent terms. (Def. Exh. B, §§ 2.1, 2.3.) The APA confirms that the sale transaction consistent of an asset transfer from Seller to Buyer, including Saltwater Luxe's intellectual property, inventory, equipment, books and records, vendor and customer information, goodwill, and "all other properties, rights, titles, interests and other assets owned, licensed or leased by Seller as of the Closing, or in which Seller has an interest, which are related to or used or useful in the Business and not otherwise Excluded Assets." (Id. § 2.1(a).) The Seller's "corporate character" and the "maintenance and existence of Seller as a corporation" was among the Excluded Assets. (Id. § 2.1(b).) By its plain language, the APA transferred the Saltwater Luxe "brand" to Houston Salem while preserving the corporate existence of the Saltwater Luxe company. With respect to the consideration received by Seller for the asset transfer, the "Commission Payments" in the APA indicate that Buyer would pay Commissions to Plaintiff based on revenues received by the Buyer from sales of Saltwater Luxe Brand goods, so long as Plaintiff is employed on a full-time basis by Buyer. (Id. § 2.4(b)(i).) The "Participation Right" in the APA also grants Seller a 20% "participation interest" in "any disposition of the [Saltwater Luxe] Brand." (Id. § 2.5.) This provision is limited in scope: there is no language purporting to give Seller a participation interest in the profits of all commercial activities associated with the Saltwater Luxe Brand—only a 20% interest in the net purchase price of any "disposition" (i.e. the transfer or disposal) of the Brand, whether by a sale of the Brand itself or the sale of the Buyer. (Ibid.) There is no ambiguity in this language.

Defendants argue that the Participation Right is not an ownership interest in the Houston Salem corporation itself, only a contractual right to share in the proceeds of the Saltwater Luxe brand. (Mot., at p. 12; Rep., at p. 4.) Plaintiff does not point to any provisions of the LOI or the APA which expressly contemplate the transfer of ownership or stock in either Saltwater Luxe (the company) or Houston Salem. (Def. Exhs. A, B.) In fact, Plaintiff appears to concede that Defendants' shareholder records, as currently available to Plaintiff, negate Plaintiff's status as a record-shareholder. (Opp., at p. 12:3; see Corp. Code, § 185 ["'Shareholder' means one who is a holder of record of shares."]; see also Corp. Code, § 701, subd. (d).) Instead, Plaintiff argues that she is entitled to shareholder rights and privileges under a theory of equitable ownership based on her participation interest under the APA, the parties' continuing relationship, and Kayne's written acknowledgement that Plaintiff would "maintain [her] 10%" interest in the Saltwater Luxe brand. (Id. at p. 12; Bischofberger Decl., ¶¶ 6, 28-30; Khatib Decl., ¶ 15; Exh. 1.)

Even so, Plaintiff fails to submit any legal authority to support her position that a mere contractual participation interest in the disposition of a limited asset either creates a fiduciary relationship or confers equitable shareholder status in the entire corporation to the interest holder. California courts have rejected the premise that fiduciary duties are owed to individuals with a mere "expectancy interest" in a corporation through unexercised stock options. (Daly v. Yessne (2005) 131 Cal.App.4th 52, 63 (Daly).) Plaintiff refutes the applicability of Daly to this action by characterizing her interest as a "vested participation interest" paid in consideration for the asset transfer, while the Daly decision involved a mere expectancy interest in stock. However, Plaintiff ignores the plain language of the LOI and the APA, which state that Plaintiff's "participation interest" only applies to the disposition of the Saltwater Luxe Brand. (Def. Exhs. A, B.) Thus, Plaintiff's "participation interest" can reasonably be characterized as an expectancy interest in the disposition of the Saltwater Luxe Brand— if no such disposition occurs, the "participation interest" will never be triggered. Similarly, stock options, which are a purely contractual right to purchase shares, are more comparable to the “participation interest” described in the LOI and the APA than recorded shares. As Daly confirms, “[t]he holder of an option to purchase stock is not an equitable stockholder of the corporation.” (Daly, supra, 131 Cal.App.4th at p. 61.) By analogy, the holder of a contractual participation interest in the disposition of a specific asset has a mere expectancy or contractual entitlement to proceeds, not a vested equitable ownership stake.

Based on the unambiguous language of the LOI and the APA, the Court finds that Plaintiff cannot demonstrate that she has a present shareholder status, whether recorded or equitable, in Houston Salem as a matter of law. As Plaintiff’s fifth cause of action for breach of fiduciary duty and tenth cause of action for violation of her shareholder inspection rights necessarily turn on Plaintiff’s shareholder status, Defendants are entitled to summary adjudication on these claims. For the same reasons, the “unlawfulness” prong of Plaintiff’s UCL claim also fails because it is predicated on Defendants’ violations of the Corporations Code, which could not have occurred as a matter of law if Plaintiff is not a shareholder.

At minimum, Plaintiff argues that the “unfair” and “fraudulent” prongs of her UCL cause of action and her equitable accounting cause of action do not turn on a shareholder relationship between Plaintiff and Houston Salem. (Opp., at p. 14-19.) With respect to the UCL claim, the allegations of unfair and fraudulent conduct that do not involve rights derived from Plaintiff’s shareholder status are limited to the theory that Defendants have, in bad faith, “manipulated commission calculations and withheld material information to avoid paying Plaintiff the full commission and royalty payments she was due under the APA and LOI” and by “misrepresenting and concealing material facts about Saltwater Luxe’s sales to reduce the payouts owed to Plaintiff under the APA/LOI” while Defendants “knowingly mislabeled full-price sales as ‘discounted’ and provided false justifications for these discounts…” (FAC, ¶¶ 131-132.) Relatedly, with respect to Plaintiff’s equitable accounting claim, Plaintiff alleges that Defendants engaged in “fraud, self-dealing, abuse, illegality, gross mismanagement, commingling, and misappropriation of corporate assets” to “deprive [Plaintiff] of the full value of her [] interest,” for example, by “purposefully mislabel[ing] items as discounted when they were in fact sold at full price.” (Id. ¶ 174.) Plaintiff seeks an accounting to determine the “total commission and royalty payments that should have been paid to Plaintiff under the APA and LOI…” (Id. ¶ 175.)

Of course, Plaintiff's contractual rights to commissions and her participation interest in the Saltwater Luxe brand give her standing to pursue these claims apart from any shareholder interest in Houston Salem. Accordingly, Defendants cannot demonstrate that they are entitled to summary adjudication of these claims in their favor on the basis of Plaintiff's non-shareholder status alone. Even so, Plaintiff concedes that the allegations regarding this compensation structure and "commission dispute" are arbitrable. (Opp., at pp. 14, 16; Rep. at p. 4.) As summarized by the above allegations, Plaintiff's "unfair" and "fraudulent" claims under the UCL and her accounting claim are unrelated to her contractual interest in the disposition of the Saltwater Luxe Brand itself, as contemplated by her Participation Right under the APA. Instead, these claims concern Defendants' misrepresentation of the sales revenue related to the Saltwater Luxe Brand, which impacts Plaintiff's right to commissions and royalty payments, but does not implicate a disposition of the Brand. Plaintiff is not alleging that the Brand asset itself was sold, which would trigger Plaintiff's Participation Right under the APA. Thus, any such claim is beyond the scope of the pleadings. Accordingly, these remaining claims fall within the scope of the Court's previous ruling compelling employment and commission-related matters to arbitration. (See Second Am. Answ., ¶ 1; Minute Order, Oct. 30, 2025; Minute Order, Nov. 7, 2025.)

The Court will hear oral argument as to whether Plaintiff's remaining claims should be transferred into the ongoing arbitration proceedings or stayed in this litigation pending resolution of the arbitration.

Finally, Plaintiff seeks a continuance for further discovery pursuant to Code of Civil Procedure section 437c, subd. (h). However, "[t]he trial court need not grant a continuance where the proposed discovery is focused on matters beyond the scope of the dispositive issues framed by the pleadings." (Ace American Ins. Co. v. Walker (2004) 121 Cal.App.4th 1017, 1023.) In this case, the Court's interpretation of the LOI and the APA precludes, as a matter of law, any finding that the underlying asset sale conferred shareholder or equitable ownership status in Houston Salem upon either Saltwater Luxe (or Plaintiff as its successor). Accordingly, even if Plaintiff were permitted to conduct further discovery into the shareholder records of Houston Salem, Plaintiff cannot show that there is a reasonable likelihood that she will discover documents reflecting her status as a record shareholder. As discussed above, Plaintiff fails to provide any legal authority to support her theory that she is entitled to be treated as an equitable owner of Houston Salem (or even the Saltwater Luxe Brand) based on her contractual participation interest alone. Thus, Plaintiff has not overcome her burden of demonstrating that she is entitled to a continuance under Code of Civil Procedure section 437c, subd. (h).

II. EVIDENTIARY OBJECTIONS

Plaintiff objects to the Declaration of Stephen Kayne (nos. 1-4). The following evidentiary objections are SUSTAINED: 1 in part (at p. 3:5:6) (lacks foundation; secondary evidence rule); 3 and 4 (improper legal conclusion). The following objections are OVERRULED: 1 in part (at p. 3:4-5) and 2.

III. REQUEST FOR JUDICIAL NOTICE

Defendants request judicial notice of: (1) Saltwater Luxe's Certificate of Amendment of Articles of Incorporation (filed 10/30/2018) (Def. Exh. F), (2) Bischofberger Enterprises' Statement of Information (filed 12/6/2018) (Def. Exh. G), (3) Bischofberger Enterprises' Certificate of Dissolution (filed 3/11/2019) (Def. Exh. H), and (4) Houston Salem's Statement of Information (filed 12/20/2024) (Def. Exh. I). Plaintiff objects to this request to the extent that the documents are offered to prove the truth of their contents (but not to the extent that Defendants seek to prove their existence, filing dates, or contents). The Court takes judicial notice of the existence of these California Secretary of State records pursuant to Evidence Code section 452, subd. (c).

Defendants Houston Salem, Inc., Stephen Kayne, Hadi John Salem, and Ramsey Salem to serve notice of ruling. This tentative ruling ("TR") shall be the order of the Court unless changed at the hearing and shall by this reference be incorporated into the Minute Order.

TR emailed to counsel and posted to court's website on 7/28/26 at 8:30 a.m.